

TOP 5 INDIAN SMALL FINANCE BANKS

RANK FY24	BANKS	ASSETS	NET NPA / NET ADVANCES (%)	COST / INCOME RATIO	ROCE (%)	CAR (%)
1	Ujjivan Small Finance Bank	40,422	0.28%	0.54	26.09%	24.69%
2	AU Small Finance Bank	1,09,426	0.60%	0.65	13.04%	20.06%
3	Jana Small Finance Bank	32,710	0.56%	0.57	24.92%	20.31%
4	Suryoday Small Finance Bank	12,378	0.86%	0.62	12.74%	28.41%
5	ESAF Small Finance Bank	26,087	2.26%	0.59	20.23%	23.27%

Assets in ₹ crore; Data for FY24 **Source** BT-KPMG Best Banks and NBFCs Survey 2023-24



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bank reduced its microfinance loan exposure to 63.7% from 69.2% in September 2022, while its housing loan portfolio rose to 19.1% from 14.7% during the same period. As of September 2024, the bank's gross loan book reached ₹30,344 crore, up 14% over a year ago.

Despite these efforts, the bank's ratio of gross non-performing assets to gross advances rose slightly to 2.52% in September 2024 from 2.35% a year earlier. But, it remained below the 5.06% recorded in September 2022.

Moving forward, Nautiyal says, cautious growth strategies and stringent underwriting norms will ensure healthy asset quality. In addition, the recent sale of loans

through an asset reconstruction company will further strengthen the asset quality and stability.

Ujjivan plans to grow its secured lending segments, which includes housing, MSME loans, vehicle finance, and gold loans at a pace that surpass its overall portfolio growth. It expects these segments, with their relatively small base and high growth potential, to drive its growth at a CAGR of over 20% in the next five years.

Ujjivan, which began operations in 2017, has also increased its total number of branches to 752 in just seven years. In FY24, it reported a net profit of ₹1,282 crore compared to ₹199 crore in FY19. To diversify its income base, Ujjivan is now focussing in on the third-party products and fee-based business lines. This strategy, experts say, will enhance Ujjivan's non-interest income and support its core lending operations. Emkay Global Financial Services estimates that by FY27, Ujjivan's net profit could rise to ₹1,459 crore, with its balance sheet expanding to ₹70,560 crore.

In recent quarters, Ujjivan has faced increasing provisions and contingencies. Its provi-

sions increased to ₹151 crore in Q2FY25 from ₹26 crore a year ago; the amount was ₹110 crore in Q1FY25. Nautiyal attributes this to stress in the microfinance sector, despite robust post-pandemic recovery in FY22 and FY23.

The sector's difficulties increased in late FY24 due to factors such as geography-specific economic challenges, including floods and slowdowns. Nautiyal, however, says that the scenario of elevated provisions will persist for two more quarters before stabilising.

All these factors weighed on investor sentiment. As a result, the bank's share price has declined by 26% since April 2024. "The recent fall in microfinance-focussed players can be attributed to weak earnings," explains Nautiyal. However, he remains confident in the resilience of Ujjivan's microfinance business and its strategic shift towards secured lending. "As the micro-finance cycle turns, our performance will rebound strongly," says Nautiyal. **BT**

@iamrahuloberoi